

Over the past week, Chinese President Xi Jinping intensified his sweeping crackdown on public officials, expelling Vice Adm. Li Hanjun, chief of staff of the People's Liberation Army Navy, and Liu Shipeng, deputy chief engineer at state-owned China National Nuclear Corp., from the National People's Congress. Neither had been previously reported as under investigation. Additionally, Miao Hua, a former top general tasked with overseeing the PLA's ideological work, was voted out of the Central Military Commission. Miao had already made headlines last November when authorities placed him under investigation for "suspected serious violations of discipline and law" – a more severe and rare charge than routine corruption. The scale and intensity of the purge suggest that Xi may have lost trust even in his own appointees within the Chinese Communist Party.

However, his own position as paramount leader may not be so secure. Xi disappeared from public view for more than two weeks in late May and early June, a highly unusual occurrence for a Chinese leader, particularly during a busy diplomatic period. When he reappeared, he reportedly looked tired and disengaged, prompting speculation about his health or political troubles. More recently, he skipped the BRICS summit on July 6-7 in Rio de Janeiro, despite the fact that China views and promotes the bloc as an important counterweight to Western-dominated institutions such as the G7 or the International Monetary Fund.

An undisclosed health condition is not impossible (Xi turned 72 last month), but political difficulties are a likelier explanation. Evidence of political erosion is visible in state media and official communications from the Foreign Ministry and the State Council, where references to "[Xi Jinping Thought](#)" as the CCP's guiding principle have fallen sharply. During Xi's two-week absence, moreover, a major State Council event not only went ahead without him but made no reference to him. This is extremely unusual: CCP protocol says that if the country's paramount leader cannot attend an event, officials should be reminded of his position and his official political doctrine.

Xi's absence from key events and the decline in official references to his leadership doctrine point to a broader loss of credibility. After all, Xi has been unable to reinvigorate the Chinese economy, and his confrontational approach to the U.S. has failed to produce a substantive trade deal. At least one faction inside the CCP appears to be working to undermine him.

Xi's Disappointing Record

Comparing Xi's promises to his accomplishments, this development is hardly surprising. He pledged to achieve "common prosperity," but his crackdown on big tech – a central pillar of his wealth redistribution plan – was reversed to stimulate economic growth and secure tech self-sufficiency. The leadership has since sought to reassure tech firms, but the results have underwhelmed. Despite large investments in artificial intelligence, quantum computing, electric vehicles and green energy, China still depends heavily on foreign technology, especially in semiconductors and EVs. With U.S. tariffs looming, Beijing's reliance on foreign tech and capital remains a major vulnerability.

Signs of systemic stress are also visible in protests – mainly among factory workers facing wage cuts and layoffs, and among young people contending with high unemployment. Until recently, direct criticism of Xi was rare and mostly limited to long-retired officials or academics living overseas. This has now changed. Specific names are now circulating in Chinese political circles as potential successors – not just after Xi's third term, but possibly before it ends.

One of these names is Zhang Youxia, the CCP's top military commander and vice chairman of the Central Military Commission. Questions have swirled for months about the extent of Xi's control over the military, fueled by a purge that swept up even trusted members of Xi's Fujian clique, such as Gen. He Weidong, the second-ranked vice chairman of the Central Military Commission, Gen. Lin Xiangyang, commander of the East Theater Command, and Adm. Miao Hua, the aforementioned ideology chief. The conventional theory says that the purges are a response to Xi's fears about the military's loyalty, but another possibility is that Zhang, not Xi, is driving the purges. Although Xi is technically chairman of the Central Military Commission – the body responsible for purges within the People's Liberation Army – Zhang, as vice chairman, is more involved in day-to-day operations. Zhang supported Xi's pursuit of an unprecedented third term as president, but there are rumors that CCP elders and retired officials aligned with the Hu Jintao faction – which believes Xi has failed to uphold his predecessor's legacy and deliver on economic and social stability – are encouraging Zhang to sideline Xi's allies.

The Return of the Youth League

The Hu Jintao faction, also known as the Youth League faction, is dominated by officials who started their political careers as members of the Communist Youth League. Since its founding in the 1980s, it has favored socio-economic reforms to reduce inequality as well as collective leadership and consensus-based rule. During Xi's first term, prominent members of the faction such as Li Keqiang held senior posts. But as Xi strayed from Hu's path and consolidated his one-man rule, he marginalized the faction. By 2022, few members of the Youth League faction remained in the Politburo. This was also the year when Hu was publicly escorted from the CCP's National Congress, symbolizing the end of his political influence. However, the faction appears resurgent. In addition to Zhang's apparent control over the PLA, Hu Chunhua – a former Politburo member and protege of Hu Jintao who was once touted as Xi's successor or [potential challenger](#) before being sidelined at the same 2022 party congress – has returned to prominence and recently represented the CCP on diplomatic missions.

The Hu Jintao faction's preferred successor to Xi is probably Wang Yang, a former Politburo member and vice premier under Li Keqiang. Wang, whose rise was aided by Deng Xiaoping, failed to win reelection to the Politburo in 2022 – reportedly due to Xi's distrust of him. He has long advocated a greater role for the free market as well as targeted poverty alleviation (not outright wealth redistribution) and a less confrontational foreign policy. Wang's pragmatic style, the opposition hopes, could prove more effective than Xi's in repairing relations with the U.S. and restoring investor confidence. The anti-Xi faction's strategy appears to be to gradually erode Xi's power base until he is forced to resign.

But Xi shows no signs of stepping down. In his most recent Politburo speech, he warned senior cadres to resist “unhealthy tendencies” and called for a restructuring of party organs to more clearly define their functions and limitations – apparently acknowledging the internal dissent and signaling his intent to fight back. Xi may try to reassert his authority over the PLA at the Sept. 3 parade commemorating the 80th anniversary of victory over Japan. He also invited newly elected South Korean President Lee Jae-myung to attend, a rare outreach to a U.S. ally that might be intended to ease tensions with Washington and calm his domestic rivals.

Any transition of power in China is unlikely to be smooth. Xi is deeply invested in staying in power through the end of his term, which runs for another three years. Stepping down would mean accepting blame for the country's stagnation – something he's unlikely to do willingly. His domestic opponents are gaining strength but are also likely divided on how to end his reign. Wang

is rumored to favor a negotiated handover, letting Xi retain some of his titles and dignity, while Zhang likely wants to organize a coup and hold Xi accountable for his mistakes.

Xi has failed to achieve the “national rejuvenation” and “common prosperity” goals he set, and his approach to the U.S. has neither intimidated it into submission nor charmed it into cooperation. Economic problems are widespread, and the unresolved trade war with Washington is casting a shadow over critical sectors. The rise of an opposing faction is a direct response to these failures. Still, any leadership change in China would be as likely to bring chaos as it would reform and improvement.